FINANCIAL ACCOUNTING

ELEVENTH EDITION

Chapter 3

Recording transactions

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Learning objectives

After studying this presentation, you should be able to:

3.1 identify the nature of, purpose of and evidence for transactions

3.2 describe the accounting cycle used to record, classify and summarise transactions, including the of ledger accounts and the general ledger

3.3 outline the rules of debit and credit used in double-entry accounting and how to apply these rules in analysing transactions

Learning objectives

3.4 explain the purpose and format of the general journal, record transactions in the general journal and transfer the information to the general ledger

3.5 discuss the purpose of the trial balance and how to prepare one.

Transactions

- **Types of transactions:**
  - **External transactions:**
    - involve an outside party
    - exchange of economic resources and/or obligations:
      - sale of inventory
      - purchase of supplies.

Transactions

- **Types of transactions:**
  - **Internal transactions:**
    - transformation of economic resources:
      - use of office supplies.
  - **Non-transactional events:**
    - not usually recorded, but may be in the future:
      - receiving an order from a customer.

Transactions

- **Transactions of a business entity:**
  - An entity which are expected to provide future economic benefits to the entity.
  - The initial source of assets for any business is an investment by the owner.
  - Cash is useful as a medium of exchange or as a measure of value, but it is essentially a non-productive asset.

Transactions

- **Source documents:**
  - Prepared for every external transaction.
  - Support entries in accounting records.
  - Important element in control system.

Transactions

- **Source documents:**
  - Common source documents include:
    - tax invoice (specific requirements as per ATO)
    - purchase order
    - cash register tape
    - credit card slip

The accounting cycle

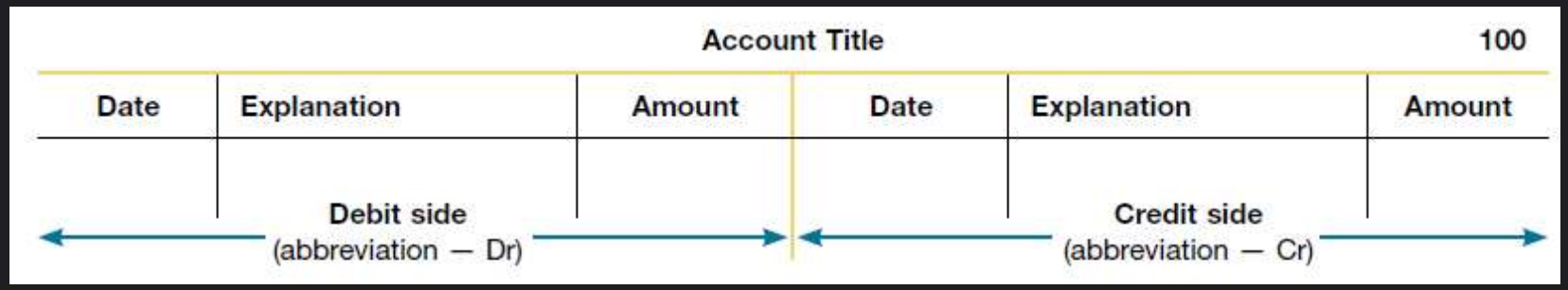
- **Accounting periods:**
  - Periodic progress of the entity is divided into time periods of equal length.
- **Interim statements:**
  - Statements prepared for external users before the end of the annual period.
- **The accounting cycle:**
  - The steps and procedures, culminating in the preparation of financial statements.

The accounting cycle

- **The basic accounting cycle:**

The accounting cycle

- **The ledger account:**
  - Where the effect of transactions is recorded.
  - **Three basic parts**:
    - title
    - place for recording increases
    - place for recording decreases.



The accounting cycle

- **Example:**
  - T-account for Cynthia's Beauty Services:

Cash at bank

Date	Explanation	Post ref*	Amount	Date	Explanation	Post ref*	Amount
2022				2022			
2/1	Cynthia Jones,			3/1	Vehicle		32 000
	capital		53 000	3/1	Beauty services		
20/1	Beauty services				equipment		6 000
	income		4 500	22/1	Employee wages		
31/1	Accounts				expense		600
	receivable		1 550	31/1	Accounts payable		2 500
				31/1	Cynthia Jones,		
					drawings		200
					Balance c/d		17 750
			59 050				59 050
	Balance b/d		17 750				

The accounting cycle

- **Account formats:**
  - **T-accounts:**
    - convenient way to show individual accounts
    - illustrate effects of transactions on an account
    - still used in practice for quick calculations.

The accounting cycle

- **Account formats:**
  - **Running balance accounts:**
    - provides all the information in a T-account
    - also provides a balance after each transaction
    - used in formal accounting systems.

The accounting cycle

- **Computerised accounting information systems:**
  - An account could be a single-column account:
    - with the debits shown as positive amounts
    - and credit amounts shown as negative amounts.
  - Alternatively, depending on the nature of the account:
    - the credits may be shown as positive
    - and the debits shown as negatives.

The accounting cycle

- **Sample computerised accounts:**

CYNTHIA'S BEAUTY SERVICES
Hometown

General ledger [detail]
1/1/22 to 31/1/22

Page 1

ID#	Src	Date	Memo		Debit	Credit	Net activity	Ending balance
1-1100 Cash at bank					Beginning balance: $0.00			
GJ000001	GJ	2/1/22	Initial capital investment		$53 000.00			$53 000.00
GJ000002	GJ	3/1/22	Purchased vehicle for cash			$32 000.00		21 000.00
GJ000002	GJ	3/1/22	Purchased equipment for cash			6 000.00		15 000.00
GJ000004	GJ	20/1/22	Cash beauty services income		4 500.00			19 500.00
GJ000006	GJ	22/1/22	FNI transfer wages			600.00		18 900.00
GJ000008	GJ	31/1/22	Cash rec'd from customers		1 550.00			20 450.00
GJ000009	GJ	31/1/22	Paid a/cs payable			2 500.00		17 950.00
GJ000010	GJ	31/1/22	Drawings by Jones		200.00			17 750.00
				Total:	$59 050.00	$41 300.00	$17 750.00	$17 750.00
1-1200 Accounts receivable					Beginning balance: $0.00			
GJ000005	GJ	20/1/22	Spray tan income charged		$ 1 550.00			$ 1 550.00
GJ000008	GJ	31/1/22	Cash rec'd from customers			$ 1 550.00		0.00
					$ 1 550.00	$ 1 550.00	$ 0.00	$ 0.00

The accounting cycle

- **Accounts commonly used:**
  - An account is established for each type of:
    - asset
    - liability
    - equity
    - income
    - expense.

The accounting cycle

- **Accounts commonly used:**
  - Number and exact individual accounts varies depending on the nature and complexity of the entity's operations.

The accounting cycle

- **Accounts: statement of financial position:**
  - **Asset accounts:**
    - cash at bank
    - accounts receivable
    - other receivables and debtors
    - GST outlays
    - prepaid expenses
    - land
    - buildings
    - plant and equipment.

The accounting cycle

- **Accounts: statement of financial position:**
  - **Liability accounts:**
    - accounts payable
    - unearned income
    - other current liabilities
    - GST payable and receivable:
      - entities simply have one GST-related general ledger account called GST Net Payable
    - mortgage payable.

The accounting cycle

- **Accounts: statement of financial position:**
  - **Equity accounts:**
    - Four main types of transactions:
      - investment of assets by the owner
      - withdrawal of assets by the owner
      - income earned
      - expenses incurred.

The accounting cycle

- **Accounts: statement of financial position:**
  - **Equity accounts:**
    - Two account types:
      - capital
      - drawings or withdrawals.

The accounting cycle

- **Accounts: statement of financial performance:**
  - **Income:**
    - **Revenue:**
      - Represents income that arises in the course of ordinary activities of an entity.
      - Usually through the provision of services or sale of goods.

The accounting cycle

- **Accounts: statement of financial performance :**
  - **Income:**
    - **Gain:**
      - Represents incomes that does not usually arise in the course of ordinary activities of an entity.
      - Usually of a non-recurring or sporadic nature.

The accounting cycle

- **Accounts: statement of financial performance:**
  - **Expenses:**
    - The cost of services and economic benefits consumed or lost or liabilities incurred during the period.
    - **Profit:**
      - When total income exceeds total expenses.
    - **Loss:**
      - When total expenses exceeds total income.

The accounting cycle

- **General ledger:**
  - Collection of all the individual accounts of an entity.
  - Organised in the order they appear in the balance sheet and income statement.
  - Each account has a specific identification number.

The accounting cycle

- **Chart of accounts:**
  - Listing of ledger account titles and related numbers.
  - Used as a reference point when analysing transactions.
  - A good chart of accounts will reveal the:
    - type of organisation
    - nature of its activities
    - sources of incomes and expenses.

Double-entry accounting

- Each transaction must be analysed to determine:
  - what type of accounts are affected
    - assets, liabilities, equity
  - by how much each item must be increased or decreased.
- The **accounting equation** must always remain in **balance**.

Double-entry accounting

- **Debit and credit rules:**
  - **Accounts: statement of financial position:**
    - Instructions detailing where in the ledger the balance needs to be recorded:
      - Debit = ‘on the left-hand side’.
      - Credit = ‘on the right-hand side’.
      - No meaning beyond that instruction.

Double-entry accounting

- **Debit and credit rules:**
  - **Accounts: statement of financial position:**
    - Increases and decreases are recorded in the **three categories of accounts** reported on the **statement of financial position** as shown in T-account format below:

Assets		=	Liabilities		+	Equity	
Debit to increase	Credit to decrease		Debit to decrease	Credit to increase		Debit to decrease	Credit to increase
↓				↓			↓
Normal balance				**Normal balance**			**Normal balance**

Double-entry accounting

- **Debit and credit rules:**
  - **Accounts: statement of financial performance:**
    - Debit and credit rules for **statement of financial performance** accounts are shown below in T-account format:

Income (incl. revenues)	
Debit to decrease	Credit to increase ↓ **Normal balance**

Expenses	
Debit to increase ↓ **Normal balance**	Credit to decrease

Note: A debit increases the account balance but is a decrease in equity.

Double-entry accounting

- **Debit and credit rules:**
  - Summary of debit/credit rules and the accounting equation:

ACCOUNTING EQUATION

Assets	=	Liabilities	+	Equity

Therefore:

All asset accounts	=	All liability accounts	+	All equity accounts

Dr	Cr
Increases	Decreases
Normal balance	

Dr	Cr
Decreases	Increases
	Normal balance

Dr	Cr
Decreases	Increases
	Normal balance

Expense accounts

Income accounts

Dr	Cr
Increases	Decreases
Normal balance	

Dr	Cr
Decreases	Increases
	Normal balance

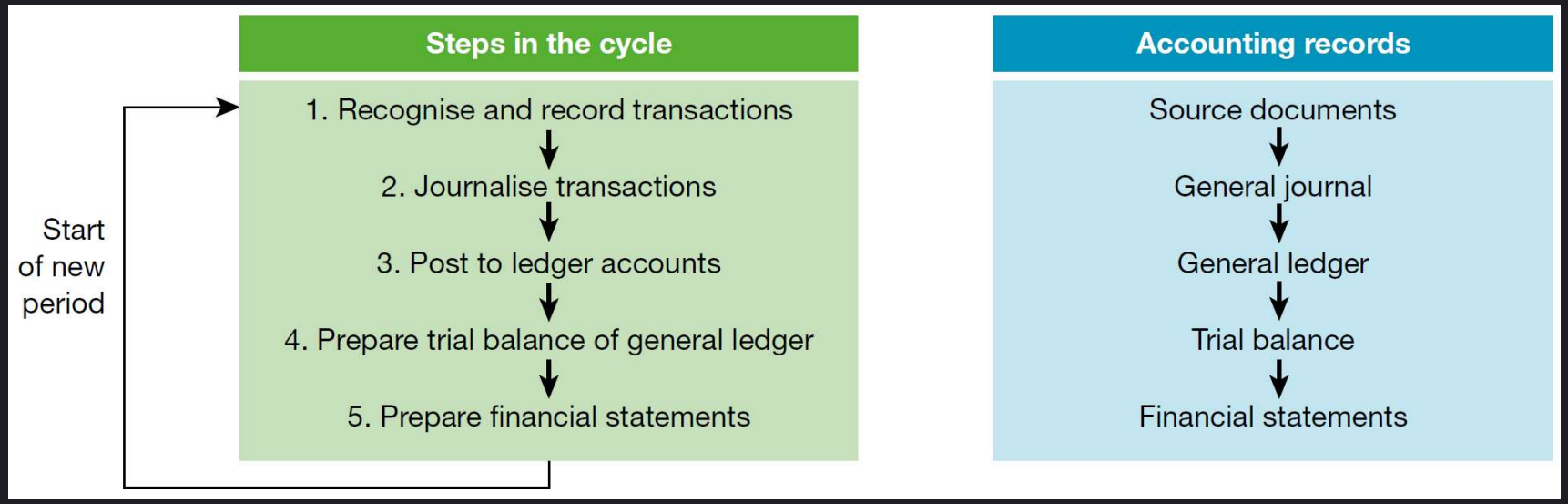
Double-entry accounting

- **Normal account balances:**
  - The chart below summarises the normal balances for all accounts:

Account	Increases recorded on	Normal balance
Assets	Debit side	Debit
Liabilities	Credit side	Credit
Equity		
Investment in the entity by owner	Credit side	Credit
Drawings from the entity by owner	Debit side	Debit
Income: Revenues	Credit side	Credit
Expenses	Debit side	Debit

Double-entry accounting

- **Expanded accounting cycle:**



General journal

- Once analysed, a transaction is recorded first in the **general journal**.
- A journal has the following advantages:
  - complete record of all transactions
  - presented in chronological order
  - useful for locating and reducing errors as debits and credits shown together.

General journal

- **Recording transactions in a journal:**
  - **General journal** or **two-column journal:**
    - contains two columns for entering dollar amounts
  - **Entering** or **journalising**:
    - recording transactions in a journal.

General journal

- **Recording transactions in a journal:**
  - Transaction is analysed for its effects on the various ledger accounts, before it is entered in the journal.
  - The principles of double-entry accounting are observed for each transaction:
    - two or more accounts are affected by each transaction
    - the sum of debits equals the sum of credits
    - the accounting equation remains in balance.

General journal

- **Example of a general journal:**

General journal	
Date	Particulars
1 2022	2
July 5	Cash at bank
6	Marketing services revenue 4
	GST payable
	(Marketing services rendered in exchange for cash)
	7
	Office equipment
	GST receivable
	Cash at bank
	Loan payable
	(Purchased equipment for cash part-payment with a short-term loan for the balance)

1. The date of each transaction is entered in the date column.
2. The name of the account(s) to be debited is entered against the left margin of the particulars column.
3. The amount to be debited to each account is entered in the debit amount column on the same line as the account name.
4. The name of the account(s) to be credited is entered on the line immediately below the account(s) to be debited and is indented to distinguish the account(s) credited from the account(s) debited.
5. The amount to be credited to each account is entered in the credit amount column on the same line as the account name.
6. A brief explanation of the transaction is entered on the line immediately below the journal entry. This explanation is referred to as a *narration*.
7. A single line is usually left blank between each journal entry or a line is drawn between each entry across the particulars column.
8. At the time the journal entry is recorded, the posting reference column is left blank until the account is posted to the ledger (see below). If an appropriate account title is not listed in the chart of accounts, the new account with a new appropriate number should be added to the chart of accounts.

General journal

- **Posting from journal to ledger:**
  - **Posting:**
    - Transferring amounts entered in the journal to the proper ledger accounts.
  - Classifies the effects of all transactions on each individual asset, liability, equity, income and expense account.
  - General journal records each transaction.
  - General ledger records effect transactions on each individual account.

General journal

- **Posting from journal to ledger:**
  - **General journal** records each transaction.
  - **General ledger** records effect transactions on each individual account.

General journal

- **Posting from the general journal to the general ledger (running balance format):**

Posting the debit — **General journal** — **Page 1**

Date	Particulars	Post ref	Debit	Credit
2022		6		
July 5	Cash at bank	100	15 400	
	Marketing services revenue	402		14 000
	GST payable	250		1 400
	(Marketing services rendered in exchange for cash)			

General ledger

ACCOUNT **Cash at bank** 1 — Account no. **100**

Date	Explanation	Post ref	Debit	Credit	Balance
2 2022			4		7
July 5	Marketing services revenue/ GST payable 3	1 5	15 400		15 400

1. Locate in the ledger the account to be debited.
2. Enter the date the transaction occurred as shown in the journal.
3. Enter in the explanation column the name of the other ledger account(s) to which the opposite side of the entry will be posted (i.e. cross-reference the debit and credit entries).
4. Enter the debit amount in the debit column of the ledger account.
5. Enter in the posting reference column of the ledger account the page number of the journal from which the entry is being posted.
6. Enter in the posting reference column of the journal the account number to indicate that the debit amount was posted.
7. If using running balance ledger accounts, insert the current balance in the account.

8–14. Repeat steps 1 to 7 for both credit parts of the entry, except enter the credit amount in the credit column of the ledger account.

General journal

- **Posting from the general journal to the general ledger (running balance format):**

Posting the credits — **General journal** — **Page 1**

Date	Particulars	Post ref	Debit	Credit
2022 July 5	Cash at bank	100	15 400	
	Marketing services revenue	402		14 000
	GST payable	250		1 400
	(Marketing services rendered in exchange for cash)	13		

General ledger

ACCOUNT **Marketing services revenue** 8 — Account no. **402**

Date	Explanation	Post ref	Debit	Credit	Balance
9 2022 July 5	Cash at bank 10	1 12		11 14 000	14 14 000

ACCOUNT **GST collections** 8 — Account no. **250**

Date	Explanation	Post ref	Debit	Credit	Balance
9 2022 July 5	Cash at bank 10	1 12		11 1 400	14 1 400

1. Locate in the ledger the account to be debited.
2. Enter the date the transaction occurred as shown in the journal.
3. Enter in the explanation column the name of the other ledger account(s) to which the opposite side of the entry will be posted (i.e. cross-reference the debit and credit entries).
4. Enter the debit amount in the debit column of the ledger account.
5. Enter in the posting reference column of the ledger account the page number of the journal from which the entry is being posted.
6. Enter in the posting reference column of the journal the account number to indicate that the debit amount was posted.
7. If using running balance ledger accounts, insert the current balance in the account.

8–14. Repeat steps 1 to 7 for both credit parts of the entry, except enter the credit amount in the credit column of the ledger account.

General journal

- **Posting from journal to ledger:**
  - In a **computerised system**:
    - posting is automated
    - maintain double-entry system
    - important that the initial entries are correct
    - journal proof summary is checked before posting
      - so general ledger remains in balance i.e. debits equal credits
    - running balance formats used for ledger accounts.

General journal

- **Illustrative example of journal and ledger:**
  - Please refer to chapter for full example.
  - Summary below:
    - **Step 1:** involves an analysis of the transactions to identify which accounts are affected.
    - **Step 2:** is the recording of the transaction in the general journal.
    - **Step 3:** is the posting of the journal entry to the general ledger.

Trial balance

- **Trial balance:**
  - a list of all of the accounts in the order in which they appear in the general ledger with their current balances.
  - Debits in one column and credits in another.
  - The dollar amounts of accounts with:
    - debit balances are listed in one column
    - credit balances are listed in a second column.
  - The totals of both columns must be equal, so the ledger is ‘in balance’.

Trial balance

- **Example:**
  - **Trail balance of Intellect Management Services:**

INTELLECT MANAGEMENT SERVICES
Trial balance
as at 30 June 2022

Account	Account no.	Debit	Credit
Cash at bank	100	$ 137 770	
Accounts receivable	104	11 880	
Prepaid insurance	110	1 920	
Office supplies	111	1 240	
GST receivable	120	82 276	
Land	150	380 000	
Building	160	420 000	
Office equipment	170	19 200	
Accounts payable	200		$ 9 200
Unearned appraisal fees	220		560
GST payable	250		2 026
Mortgage payable	260		792 000
M. Mooney, capital	300		240 000
M. Mooney, drawings	310	1 200	
Management services revenue	400		19 200
Appraisal fees revenue	401		500
Salary expense	500	7 600	
Telephone expense	510	160	
Advertising expense	530	240	
		$ 1 063 486	$ 1 063 486

Trial balance

- **Limitations of the trial balance:**
  - May balance but still contain errors.
  - If it doesn't balance there is definitely an error:
    - but not told what the error is.
  - If the difference between the two trial balance totals is divisible by 9, it may be an indication of two common errors called transpositions and slides.
  - If there is an error, the account balances need to be recalculated.

Trial balance

- **Correcting errors:**
  - **Error detected before posting:**
    - Cross out with single line and insert correct amount.
  - **Error detected after posting:**
    - Must be corrected with journal entry.
  - **Errors should not be erased or 'whited out':**
    - This may give the impression of concealment or fraud.

Trial balance

- **Use of dollar signs and decimal points:**
  - Dollar signs are used in the financial statements and other financial reports.
  - Dollar amounts are entered in the journal or ledger and the columns are ruled.
  - Decimal points are not necessary.

Appendix

- **Introduction to the goods and services tax in Australia:**
  - **GST rate is 10%.**
  - All supplies of goods and services are subject to GST unless they are non-taxable.
  - **Two types of non-taxable supplies:**
    - **GST-free supplies:**
      - fresh food, education courses, wages, etc.
    - **Input taxed supplies:**
      - financial services, etc.

Appendix

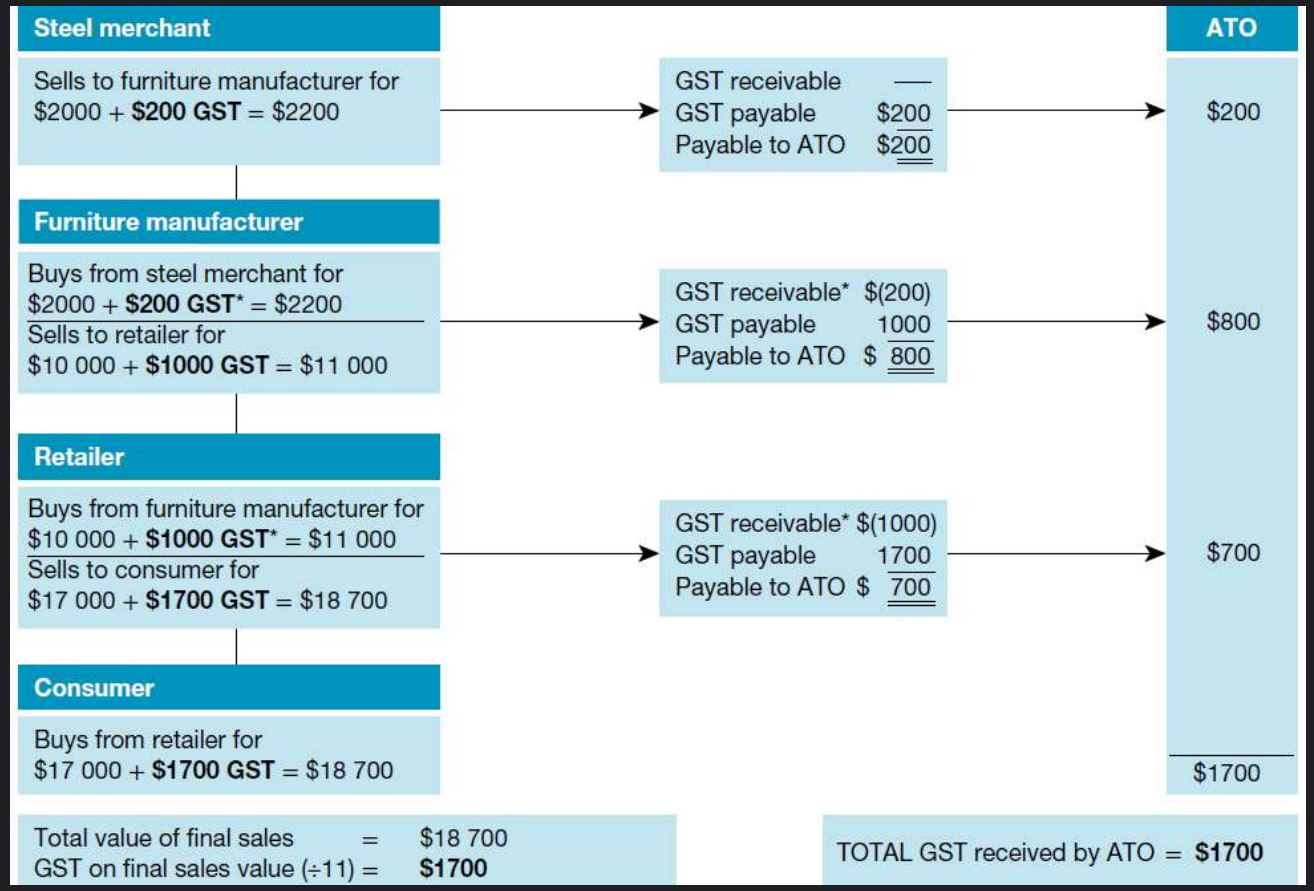
- The GST in practice:
  - **GST registration:**
    - Turnover < $75 000 – optional.
    - Turnover > $75 000 – required.

Appendix

- The GST in practice
  - **Cash or accrual basis of recording GST:**
    - **Cash basis:**
      - GST recorded on receipt/payment of cash.
    - **Accrual basis:**
      - GST recorded on recept/issue of invoice, unless cash flow occurs first.
    - Gross Revenue < $2 000 000 – cash or accrual.
    - Gross Revenue > $2 000 000 – accrual only.

Appendix

- **Flow of GST among entities and the ATO:**



Appendix

- **Accounting for the GST:**
  - GST collected/collectable on:
    - taxable supplies
    - the GST paid/payable on creditable acquisitions of services and goods.
  - Commonly, tax invoices show the amount of GST included in the price of the goods and services.

Appendix

- **Accounting for the GST:**
  - **The completed BAS:**
    - any payments due must be forwarded to the ATO
    - payment usually required within 28 days of the end of the tax period
    - can report monthly, quarterly or yearly (as required).

Appendix

- **Accounts for recording GST:**
  - Business Activity Statement (BAS) must be completed for each tax period.
  - GST registered businesses use two accounts:
    - **GST Receivable:**
      - GST amounts received.
    - **GST Payable:**
      - GST amounts paid.

Appendix

- **Accounts for recording GST:**
  - Common in practice to simply have one account called **GST Net Payable** (or similar).
    - Usually in the liability section of the general ledger.

Summary

- Nature, purpose and evidence for transactions.
- The accounting cycle:
  - Recording, classifying and summarising transactions.
  - Use of ledger accounts and the general ledger.
- Double-entry accounting:
  - Rules of debit and credit.
  - Applying these rules when analysing transactions.

Summary

- General journal:
  - purpose and format
  - recording transactions
  - transferring information.
- The purpose and how to prepare the trial balance.

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END SHOW